

Bridgewater's All Weather Strategy	
	GROWTH INFLATION
RISING	25% of Risk • Equities • Corporate Spreads • Commodities • EM Debt Spreads
FALLING	25% of Risk • Inflation-Linked Bonds • Commodities • EM Debt Spreads

Figure 14.8

Alaska Permanent Fund Corporation

Table 14.9 reports the asset allocation of Alaska's sovereign wealth fund, officially the Alaska Permanent Fund Corporation, which is funded by mineral lease rentals and royalties.³⁴ Alaska places its asset classes into different groups based on how they respond to different macro-factor risks. The company exposure category contains equities, naturally, and "benefits from times of growth and prosperity." But corporate bonds go into the same category—not in a separate fixed income allocation. Chapter 9 shows that corporate bonds are affected by many of the factors that affect equity—if a company is doing poorly, both bondholders and shareholders suffer. The correlations between corporate bond returns and stock returns, both in excess of Treasury bonds, turn out to be high: at 48% for Baa grade bonds and 65% for high-yield bonds (see Figure 9.17 and Section 4.3 of chapter 9). Alaska does not consider them separate asset classes as they respond in the same way to macro risk.

Alaska is also interesting because it follows the Merton (1971) model outlined in chapter 4 for long-horizon investing. It has a special opportunities class, with a target allocation of 18%. Long-horizon investors take positions in a portfolio that is optimal for short-run investors, called the *myopic* portfolio, as well as an opportunistic portfolio (Merton actually labels it a *long-run hedging demand* portfolio) in which the long-horizon investor takes advantage of time-varying expected returns. When there are special deals for distressed assets, or it believes there are good deals in more illiquid investment opportunities that Alaska can exploit because of its long horizon, it invests through its Special Opportunities allocation. If there are no such attractive opportunities, the allocation not invested resides in the Company Exposure asset class.

³⁴ Adapted from <http://www.apfc.org/home/Content/investments/assetAllocation2009.cfm>